Quillwood Credit Partners

Origination and credit | Internal working paper

Indicative Term Sheet
Tranquil Aged Care

A$95.0M senior secured term loan, non-binding and subject to credit approval

Prepared for Tranquil Aged Care Pty Ltd and Coolwater Capital Pty Ltd

Prepared by Quillwood Credit Partners

Date: 2 May 2025

Version 1.0, indicative only

Reference: QCP-TS-2025-0502-TAC

Date: 2 May 2025

Synthetic - for demonstration. All names, entities and figures are fictional.

Confidential. Prepared for the addressee only and not to be relied on by any other party.

1. Transaction details

Borrower	Tranquil Aged Care Pty Ltd
ABN	71 956 336 974
Registered address	Level 9, 440 Bourke Street, Melbourne VIC 3000
Sponsor	Coolwater Capital Pty Ltd, as manager of Coolwater Capital Healthcare Fund II
Lender	Quillwood Credit Partners
Date	2 May 2025
Directors	Helena Marchetti (Chair), Graham Ostrowski (CEO), Priya Venkataraman (NED)

Parties and key details

This term sheet sets out the indicative terms on which Quillwood Credit Partners would consider providing a senior secured term loan to Tranquil Aged Care Pty Ltd. It is not an offer or a commitment. It is non-binding and subject to credit approval, satisfactory due diligence and execution of final documentation.

The Borrower owns and operates nine freehold residential aged care homes in metropolitan Melbourne, Geelong and regional Victoria, with 1,040 operational beds. Occupancy was 91% at the last reporting date, equal to about 946 occupied beds. Last twelve months to December 2024 revenue was A$108.4M and EBITDA was A$16.5M, a margin of 15.2%.

2. Facility terms

Facility	Senior secured term loan
Limit	A$95.0M
Tenor	36 months from first drawdown
Repayment	Bullet at maturity, with no scheduled amortisation
Base rate	3 month BBSW
Hedging	Not less than 50% of drawn amounts hedged for the term

Principal facility terms

Use of funds	A$M
Refinance existing bank debt	78.5
Stage two refurbishment and room reconfiguration	9.5
Transaction costs, interest reserve and working capital	7.0
Total	**95.0**

Sources and uses

A$78.5M is to be drawn at financial close to repay the existing lender. The remaining A$16.5M is available in tranches, subject to the conditions in section 6 and to certification by the quantity surveyor for refurbishment draws.

3. Pricing and fees

Item	Indicative term
Margin	5.25% per annum over 3 month BBSW
Establishment fee	1.75% of the limit (A$1.66M)
Line fee	1.00% per annum on undrawn commitments
Exit fee	1.00% if repaid within 12 months

Pricing and fees

4. Security

- First ranking mortgage over all nine freehold homes.
- General security deed over all present and after acquired property of the Borrower.
- Assignment of material contracts and insurances, with the Lender noted as first mortgagee.
- Share security over the Borrower from Coolwater Capital Healthcare Fund II holdings, as required by credit.

Harcourt Dunmore Valuers Pty Ltd, in its report dated 14 March 2025, assessed the as-is market value of the portfolio at A$158.0M. On a fully drawn facility of A$95.0M the loan to value ratio is 60.1%. Refundable accommodation deposits of about A$118.0M are a prudential liability and will be reflected in the liquidity covenant.

5. Financial covenants

Covenant	Test	Proposed level
Net leverage	Quarterly	Not above 5.75x
Interest cover	Quarterly	Not below 1.60x
Loan to value	Semi-annual	Not above 65%
Minimum liquidity	Monthly	Not below A$6.0M

Proposed covenants, set against pro forma net leverage of 5.4x and interest cover of 1.9x

6. Conditions precedent

- Final credit approval by Quillwood Credit Partners.
- Satisfactory review of the information memorandum (10 February 2025), financial statements (28 February 2025) and management accounts (11 April 2025).
- Acceptable quantity surveyor report from Pellow & Strand Quantity Surveyors Pty Ltd, and a reliance letter on the valuation.
- Confirmation of approved provider status, and no adverse Aged Care Quality and Safety Commission sanction at any home.
- Executed hedging arrangements, legal opinions and customary security documents.

7. Reporting and general terms

The Borrower will provide monthly management accounts, quarterly compliance certificates including occupancy and care minute reporting, and audited annual accounts from Ashgrove Whitlam Audit Pty Ltd. Customary undertakings, events of default and change of control provisions will apply, and the documents will be governed by the laws of Victoria. This indicative term sheet remains open for 30 days from its date.